BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
ALLAHABAD BENCH,
PRAYAGRAJ

CA (CAA) NO.14/ALD/2023
(First Motion)

(Under Section 230 read with Section 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

CHANDUKA TRADING PRIVATE LIMITED
Having its Registered Office at:
E-195, Sector-63, Gautam Buddha Nagar,
Noida-201301, Uttar Pradesh

TRANSFEROR COMPANY NO.1/APPLICANT COMPANY NO.1

EUROINDIA POWER PRIVATE LIMITED
Having its Registered Office at:
E-195, Sector-63, Gautam Buddha Nagar,
Noida-201301, Uttar Pradesh

TRANSFEROR COMPANY NO.2 / APPLICANT COMPANY NO.2

YUVARAJ INTERNATIONAL PRIVATE LIMITED
Having its Registered Office:
E-195, Sector-63, Gautam Buddha Nagar,
Noida-201301, Uttar Pradesh

TRANSFEROR COMPANY NO.3 / APPLICANT COMPANY NO.3

AAKASH REALCON PRIVATE LIMITED
Having its Registered Office:
A-63, Sector-64, Noida-201301, Uttar Pradesh

TRANSFEREE COMPANY / APPLICANT COMPANY NO.4

Order pronounced on: 2nd June, 2023

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CORAM:
Hon'ble Mr. Praveen Gupta, Member (Judicial)
Hon'ble Mr. Ashish Verma, Member (Technical)

Physically Present:-

For the Applicant Companies : Sh. Naresh Kumar, Advocate with
Sh. Ankit Kumar Singh, PCS

ORDER

1. This is a joint first motion application filed by the applicant companies namely-Chanduka Trading Private Limited ("Applicant Company No. 1" or "Transferor Company No. 1"), Euroindia Power Private Limited ("Applicant Company No. 2" or "Transferor Company No. 2"), Yuvaraj International Private Limited ("Applicant Company No. 3" or "Transferor Company No. 3") with Aakash Realcon Private Limited ("Applicant Company No. 4" or "Transferee Company") under Sections 230 to 232 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any, in relation to the Scheme of Amalgamation of Chanduka Trading Private Limited, Euroindia Power Private Limited and Yuvaraj International Private Limited with Aakash Realcon Private Limited**.** The said Scheme is

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attached as Annexure-6 in VOL-3 at Page No.493 to 525 of the Application.

2. The Applicant Companies have prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders and Unsecured Creditors of the Applicant Companies. There is no Secured Creditors in the Applicant Companies.

3. The Applicant Company No.1 is presently engaged in the business of real estate business holding immovable properties and other related activities.

4. The Applicant Company No.2 is engaged in the business of real estate business holding immovable properties and other related activities.

5. The Applicant Company No.3 is engaged in the business of real estate business holding immovable properties and other related activities.

6. The Applicant Company No.4 is engaged in the business of real estate business holding immovable properties and other related activities.

7. It is submitted that the registered offices of all the applicant companies are situated in the State of Uttar Pradesh. Hence, the jurisdiction of applicant companies lie with this Hon'ble Bench.

8. The rationale of the Scheme is given below.

a) All the three Transferor Companies and the Transferee Company are engaged in the real estate business holding immovable properties;

b) Recognizing the strengths of each other and with the intent of aligning the business operations undertaken by the Transferor Companies and the Transferee Company, the said companies now propose, by way of this Scheme to amalgamate the Transferor Companies into and with the Transferee Company in accordance with the terms thereof;

c) The Parties intend to consolidate the business operations undertaken by the Transferor Companies and the Transferee Company and create synergies by way of this amalgamation of the Transferor Companies with the

Transferee Company in accordance with the terms thereof in this Scheme;

d) The Transferee Company pursuant to the proposed amalgamation would be able to create a higher pool of real estate properties eligible for tapping a bigger market, tendering contracts, commercial exploitation of existing properties and create higher revenue streams for all the shareholders;

e) The amalgamation of the Transferor Company with Transferee company would inter-alia have the following benefits:

i. Create synergies in operations.

ii. Enhance the financial profile with higher growth and margin expansion.

iii. Leverage on the combined assets, capabilities, infrastructure, and other resources of all the companies.

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iv. The amalgamation will result in the consolidation of the business operations undertaken by the Transferor Company and Transferee Company.

v. The amalgamation will result in reduction of the companies leading to reduction in compliance requirements, overheads, administrative, managerial and other expenditure and optimal utilization of various resources due to consolidation of activities.

vi. The Scheme shall be beneficial and in the interests of the shareholders and creditors of the Transferor Company and the Transferee Company and all concerned.

f) The scheme will not in any manner be prejudicial to the interest of the shareholders and its creditors.

9. It is stated that the Board of Directors of the Applicant Companies in their respective meetings held on 24.04.2023 have considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copy of resolution passed by the Board of

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Directors of the Applicant Companies are all annexed with the Application as Annexure No.1/4/Vol.1; Annexure No.2/4/Vol.2; Annexure No.3/4/Vol.2 and Annexure No.4/4/Vol.3 respectively, with the application.

10. The appointed date of the Scheme is 01.04.2023 as mentioned in the Para 1.6 in Part A under definition of the Scheme of Amalgamation at Page No.498 in Vol.3 which is annexed as Annexure No.A-6 with the application.

11. It is stated that all the Applicant Companies have filed their Audited Financial Statements as on 31.03.2023 and the same are annexed together as Annexure No.1/2/Vol.1, Annexure No.2/2/Vol.2, Annexure No.3/2/Vol.2 and Annexure No.4/2 Vol.3 respectively, with the Application.

12. It has been stated that in terms of the provisions of Section 230(7) and Section 232(3) of the Act, the Applicant Companies have filed Certificates dated 17.05.2023 of Applicant No.1, Applicant No.2, Applicant No.3 and of Applicant No.4, which are issued by their respective Statutory Auditors, certifying that the Scheme is in compliance with the Accounting Standards

prescribed under Section 133 of the Act and the same are annexed as Annexure No.7/Vol.3 with Application.

13. It is has been further stated that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme of Amalgamation has been issued by Mr. Saurabh Agrawal, Registered Valuer in respect of Securities or Financial Assets with the Insolvency and Bankruptcy Board of India (IBBI) vide Registration No.IBBI/RV/06/2019/111484 and the same is annexed as Annexure No.5/Vol.3 with the Application. The following Fair Exchange Ratio has been proposed in the aforesaid Report.

> "1925 (one thousand nine hundred twenty five) OCRP Share(s) of Rs.10/-each fully paid up of Aakash Realcon Private Limited for every 1000 (one thousand) Equity Shares of Rs.10/- each fully paid-up of Chanduka Trading Private Limited."
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> "976 (nine hundred seventy six) OCRP Share(s) of Rs.10/-each fully paid up of Aakash Realcon Private Limited for every 1000 (one thousand) Equity Shares of Rs.10/- each fully paid-up of Euroindia Power Private Limited."
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> "1263 (one thousand two hundred sixty three) OCRP Share(s) of Rs.10/-each fully paid up of Aakash Realcon Private Limited for every 1000 (one thousand) Equity Shares of Rs.10/- each fully paid-up of Yuvaraj International Private Limited."

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14. It is stated that the Scheme also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Paragraph 10 of the Part B of the Scheme (Annexure – 6/Vol.3) of this application.

15. It is submitted by the Ld. Counsel during the course of hearing that the Scheme of Amalgamation will not attract the provisions of the Competition Act, 2002. Hence, no intimation to/ approval from the Competition Commission of India (CCI) is required for the present Scheme of Amalgamation.

16. It is also submitted and deposed that there are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against any of the Applicant Companies. Further it is also submitted that no winding up application has been filed against any of the Applicant Companies and there are no liquidation proceedings against any of the Applicant Companies and none of the Applicant Companies are facing any CIRP process nor any of Applicant Companies have been struck off from Registrar of Companies.

17. The applicant companies have furnished the following documents: -

a) Audited Financial Statement as on 31.03.2023 of the Applicant Companies (Annexure No.1/2/Vol.1, Annexure No.2/2/Vol.2, Annexure No.3/2/Vol.2 and Annexure No.4/2/Vol.3 respectively, with the Application).

b) List of Equity of applicant companies along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure No.1/5/Vol.1, Annexure No.2/5/Vol.2, Annexure No.3/5/Vol.2 and Annexure No.4/5/Vol.3 respectively, with the Application).

c) List of Secured Creditors of the applicant companies duly certified by the Chartered Accountant (Annexure No.1/6/Vol.1, Annexure No.2/6/Vol.2, Annexure No.3/6/Vol.2 and Annexure No.4/6/Vol.3 respectively, with the Application).

d) List of Unsecured Creditors of the applicant companies duly certified by the Chartered Accountant (Annexure

No.1/7/Vol.1, Annexure No.2/7/Vol.2, Annexure No.3/7/Vol.3 and Annexure No.4/7/Vol.3 respectively, with the Application).

e) Certified true copy of extract of the minutes of the board resolution of the applicant companies approving the Scheme. (Annexure No.1/4/Vol.1, Annexure No.2/4/Vol.2, Annexure No.3/4/Vol.2 and Annexure No.4/4/Vol.3 respectively, with the Application).

f) Valuation Report specifying the proposed Share Exchange Ratio and indicating the fair value of equity share (Annexure No.5/Vol.3 with the Application.).

g) Proposed Scheme of Amalgamation (Annexure No.6/Vol.3 with the Application.).

h) Certificates of Statutory Auditors to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of Companies Act, 2013 (Annexure No.7/Vol.3 with the Application.).

18. That the Applicant Companies have furnished the details of the Equity Shareholders, Secured Creditors and Unsecured

Creditors along with their consent affidavits, as the case may be, as per the following detail:

Company	No. of Share holders	Consent Given	No. of Secured Creditors	Consent Given	No. of Un-secured Creditors	Consent Given
Transferor Company No.1/ Applicant Company No.1	08	08 **(100%)**	NIL	NA	03	03 **(100%)**
Transferor Company No.2 / Applicant Company No.2	07	07 **(100%)**	NIL	NA	05	05 **(100%)**
Transferor Company No.3 / Applicant Company No.3	07	07 **(100%)**	NIL	NA	07	07 **(100%)**
Transferee Company/ Applicant Company No.4	02	02 **(100%)**	NIL	NA	02	02 **(100%)**

19. Upon query raised by this Tribunal in the hearing held on 29.05.2023, the Ld. Counsel representing the Applicant Companies has filed an affidavit on 31.05.2023 *vide* diary no.1575, wherein it has been stated that, there are no investigation or proceedings pending against the Transferor Company Nos.1 to 3 and the Transferee Company in the Income Tax Department.

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20. The Ld. Counsel of the applicant companies thus prayed that Tribunal may be pleased to dispense with convening and holding of the meeting of the Equity Shareholders, the Secured and Unsecured Creditors of the Applicant Companies.

21. Heard the arguments of the Learned Counsel for the Applicant Companies and perused the documents annexed to the application.

22. Accordingly, the directions of this Bench in the present case are as under:

i. In relation to the Transferor Company No.1 /Applicant Company No.1:

a) The meeting of the Equity Shareholders of Transferor Company No.1/Applicant Company No.1 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company No.1/Applicant Company No.1, the requirement of convening the meeting Secured Creditors does not arise.

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c) The meeting of the Unsecured Creditors of the Transferor Company No.1/Applicant Company No.1 is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

ii. In relation to the Transferor Company No.2 /Applicant Company No.2:

(a) The meeting of the Equity Shareholders of Transferor Company No.2/ Applicant Company No.2 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

(b) Since, there are no Secured Creditors in the Transferor Company No 2/ Applicant Company No.2, the requirement of convening the meeting Secured Creditors does not arise.

(c) The meeting of the Unsecured Creditors of the Transferor Company No.2/Applicant Company No.2 is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

iii. In relation to the Transferor Company No.3/Applicant Company No.3:

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(a) The meeting of the Equity Shareholders of Transferor Company No.3/ Applicant Company No.3 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

(b) Since, there are no Secured Creditors in the Transferor Company No 3/ Applicant Company No.3, the requirement of convening the meeting Secured Creditors does not arise.

(c) The meeting of the Unsecured Creditors of the Transferor Company No.3/Applicant Company No.3 is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

iv. In relation to the Transferee Company/Applicant Company No.4:

(a) The meeting of the Equity Shareholders of Transferee Company/ Applicant Company No.4 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

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(b) Since, there are no Secured Creditors in the Transferee Company / Applicant Company No.4, the requirement of convening the meeting Secured Creditors does not arise.

(c) The meeting of the Unsecured Creditors of the Transferee Company/Applicant Company No.4 is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

23. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition as per law, with a direction that the Applicant Companies shall make specific prayer for sending notices to the (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; (d) the Income Tax Department by disclosing the PAN numbers of the Applicant Companies as mentioned in the Memo of Parties of the Second Motion Petition.

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24. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder.

25. That appropriate prayer would also be made in the second motion petition for publication in newspaper.

26. With the aforesaid directions, the First Motion Application bearing CA (CAA) No.14/ALD/2023 is disposed off accordingly.

27. Certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities.

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(ASHISH VERMA)
MEMBER (TECHNICAL)

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(PRAVEEN GUPTA)
MEMBER (JUDICIAL)

2nd June, 2023